

Financial Analysis Report

1. Liquidity Analysis

Current Ratio trending and alerts

April 2024: Current Ratio = Current Assets / Current Liabilities = 1,314,465,308.33 / 1,129,984,168.41 = 1.16

May 2024: Current Ratio = 1,048,099,415.52 / 910,113,204.75 = 1.15

Trend: Slight decrease from 1.16 to 1.15 month-over-month

Alert: Current ratio remains below ideal threshold of 2.0, indicating potential liquidity pressure

Quick Ratio / Acid Test trending

April 2024: Quick Ratio = (Current Assets - Inventory) / Current Liabilities = (1,314,465,308.33 - 565,752,931.60) / 1,129,984,168.41 = 0.66

May 2024: Quick Ratio = (1,048,099,415.52 - 540,343,306.63) / 910,113,204.75 = 0.56

Trend: Significant decline from 0.66 to 0.56, indicating reduced immediate liquidity

Working Capital adequacy analysis

April 2024: Working Capital = Current Assets - Current Liabilities = 1,314,465,308.33 - 1,129,984,168.41 = 184,481,139.92

May 2024: Working Capital = 1,048,099,415.52 - 910,113,204.75 = 137,986,210.77

Analysis: Working capital decreased by 25.2% month-over-month, indicating reduced operational flexibility

Cash position and runway analysis

April 2024: Cash & Bank = 219,630,140.50

May 2024: Cash & Bank = 217,143,682.86

Cash Runway: Data unavailable for operating expenses calculation

Trend: Cash position remained relatively stable with minor decrease

Net Working Capital changes and drivers

Change Analysis: NWC decreased by 46,494,929.15 from April to May

Primary Drivers: Decrease in Accounts Receivable (240,350,249.35) and Closing Stock (25,409,624.97) were main contributors

Liquidity coverage ratio

Liquidity Coverage Ratio = High Quality Liquid Assets / Net Cash Outflows

Calculation: Data unavailable for net cash outflows projection

Cash conversion efficiency

Cash Conversion Efficiency = Operating Cash Flow / Net Income

Calculation: Data unavailable for cash flow statement metrics

2. Leverage & Solvency Analysis

Debt-to-Equity ratio trending

April 2024: Debt-to-Equity = Total Debt / Total Equity = $(518,170,817.43 + 0) / 197,390,845.42 = 2.62$

May 2024: Debt-to-Equity = $(465,672,686.21 + 0) / 201,265,389.74 = 2.31$

Trend: Improvement from 2.62 to 2.31, indicating reduced leverage

Debt-to-Capital ratio analysis

April 2024: Debt-to-Capital = Total Debt / (Total Debt + Equity) = $518,170,817.43 / (518,170,817.43 + 197,390,845.42) = 0.72$

May 2024: Debt-to-Capital = $465,672,686.21 / (465,672,686.21 + 201,265,389.74) = 0.70$

Analysis: High debt proportion in capital structure, though improving slightly

Total Debt composition (secured vs unsecured)

April 2024: Secured Debt = 411,966,783.94 (79.5%), Unsecured Debt = 106,204,033.49 (20.5%)

May 2024: Secured Debt = 359,612,195.72 (77.2%), Unsecured Debt = 106,060,490.49 (22.8%)

Analysis: Shift toward slightly higher unsecured debt proportion

Debt maturity profile

Analysis: Data unavailable for detailed maturity schedule

Observation: Long-term borrowings dominate debt structure with minimal short-term debt

Interest coverage ratio

Interest Coverage Ratio = EBIT / Interest Expense

Calculation: Data unavailable for income statement metrics

Debt service coverage ratio

DSCR = Net Operating Income / Total Debt Service

Calculation: Data unavailable for operating income and debt service payments

Fixed charge coverage ratio

Fixed Charge Coverage = (EBIT + Fixed Charges) / (Fixed Charges + Interest)

Calculation: Data unavailable for fixed charges and interest expense

Solvency stress testing

Analysis: Data unavailable for comprehensive stress testing scenarios

Observation: High debt levels relative to equity warrant monitoring

3. Asset Efficiency Analysis

Asset Turnover ratios (total, fixed, current)

Asset Turnover = Revenue / Average Total Assets

Calculation: Data unavailable for revenue figures

Fixed Asset utilization trends

April 2024: Fixed Assets = 396,417,259.28

May 2024: Fixed Assets = 394,288,601.53

Trend: Minimal decrease in fixed assets, indicating stable utilization

Asset age & depreciation analysis

Analysis: Data unavailable for accumulated depreciation and asset age details

Capital intensity metrics

Capital Intensity = Total Assets / Revenue

Calculation: Data unavailable for revenue figures

Asset productivity per rupee invested

Asset Productivity = Revenue / Total Assets

Calculation: Data unavailable for revenue figures

Non-current vs current asset mix

April 2024: Non-current Assets = 531,080,522.93 (28.8%), Current Assets = 1,314,465,308.33 (71.2%)

May 2024: Non-current Assets = 528,951,865.18 (33.5%), Current Assets = 1,048,099,415.52 (66.5%)

Trend: Shift toward higher proportion of non-current assets

Asset quality indicators

Positive Indicators: Significant cash balances, diversified asset base

Concerns: High inventory levels, negative suspense account balances

4. Capital Structure Analysis

Equity composition and changes

April 2024: Equity Share Capital = 117,591,396.55, Current Year Profit = 79,799,448.87

May 2024: Equity Share Capital = 116,348,728.43, Reserve & Surplus = 79,799,448.87, Current Year Profit = 5,117,212.44

Key Change: Current year profit transferred to reserves, new profit generated

Reserves & Surplus movements

April 2024: Reserves & Surplus = 0

May 2024: Reserves & Surplus = 79,799,448.87

Analysis: Significant transfer from current year profit to reserves

Retained earnings patterns

Analysis: Data unavailable for detailed retained earnings breakdown

Observation: Consistent profit generation supports equity growth

Capital adequacy metrics

Capital Adequacy Ratio = Total Equity / Risk-Weighted Assets

Calculation: Data unavailable for risk-weighted assets calculation

Optimal capital structure comparison

Current Structure: Equity = 12.8%, Debt = 87.2% of total capital (May 2024)

Analysis: Highly leveraged structure compared to optimal debt-equity mix

Cost of capital analysis

WACC = (Cost of Equity × Equity/Total Capital) + (Cost of Debt × Debt/Total Capital × (1 - Tax Rate))

Calculation: Data unavailable for cost components and tax rate

5. Balance Sheet Quality Metrics

Asset-to-Liability ratios

April 2024: Assets/Liabilities = 1,845,545,831.26 / 1,648,154,985.84 = 1.12

May 2024: Assets/Liabilities = 1,577,051,280.70 / 1,375,785,890.96 = 1.15

Trend: Improving coverage of liabilities by assets

Equity multiplier

April 2024: Equity Multiplier = Total Assets / Total Equity = 1,845,545,831.26 / 197,390,845.42 = 9.35

May 2024: Equity Multiplier = 1,577,051,280.70 / 201,265,389.74 = 7.84

Analysis: High financial leverage, though improving month-over-month

Financial leverage index

Financial Leverage Index = Return on Equity / Return on Assets

Calculation: Data unavailable for profitability ratios

Balance sheet strength score

Positive Factors: Positive equity, adequate liquidity ratios, improving leverage

Negative Factors: High debt levels, declining quick ratio

Overall Score: Moderate strength with leverage concerns

Red flags identification (negative equity, excessive debt, etc.)

Major Red Flags:

- Negative accounts payable in May 2024 (-59,139,890.46)
- High debt-to-equity ratio (2.31 in May 2024)
- Declining quick ratio (0.56 in May 2024)
- Negative suspense account balances

Monitoring Required: Debt levels, accounts payable position, inventory management